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$$Fisher\ Effect\ Formula \rightarrow I + R = (I + R) \times (I + h)$$

$$No\ \min al\ return \rightarrow R = r + h + r \times h$$

$$D_1 = D_2 = D_3 = D = Cons\tan t$$

$$Current\ year \rightarrow D_0$$

$$\Pr esentValue \rightarrow P_0$$

$$Growth\ rate \rightarrow (I + g)$$

$$Value\ stock \rightarrow \frac{D_1}{R}$$

$$Zero\ Growth\ Stock \rightarrow P_0 = \frac{D}{R}$$

$$Cons\tan t\ Growth\ Stock \rightarrow D_1 = D_0 \times\ 1 + g$$

$$Cons\tan t\ Growth\ Stocks\ no.of\ Periods \rightarrow D_T = D_0 \times (1 + g)^T$$

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$$Cons\tan t\ growth\ stock\ formula\ and\ divident \rightarrow P_0 = \frac{D_1}{R - g}\ or\ P_0 = \frac{D_0(1 + g)}{R - g}$$

This is also called divident growth model.

$$Cons\tan t\ growthstock \Pr ice\ of\ the\ stock\ Time \rightarrow P_0 = \frac{D_t(I + g)}{R - g} = \frac{D_t + 1}{R - g}$$

$$\Pr esent\ value\ Formula \rightarrow PV = \frac{C_1}{R - g} = \frac{C_0(1 + g)}{R - g}$$

$$Non - Cons\tan t\ Formula \rightarrow P_0 = \frac{D_1}{(1 + R)^1} + \frac{D_2}{(1 + R)^2} + \frac{D_3}{(1 + R)^3} + \frac{P_3}{(1 + R)^3}$$

$$\Pr ice\ Cons\tan t\ Growth\ Rate \rightarrow P_3 = \frac{D_3(1 + g)}{R - g}$$

$$P_0 = \frac{D_1}{(R - g)} \rightarrow \text{Re}\ arranging \rightarrow P_0(R - G) = D_1 \rightarrow R - g = \frac{D_1}{P_0} \rightarrow R = \frac{D_1}{P_0} + g$$

$$\text{Re}\ quire\ return\ formula \rightarrow R = \frac{D_1}{P_0} + g$$

$$\frac{D_1}{P_0} = Divident\ Yield\ ,\ Growth\ rate = g$$

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$$Present\ Value \rightarrow PV = \frac{C \times \left[1 - \frac{1}{(1+r)^t}\right]}{r}$$

$$Average\ Accounting\ Return = \frac{Average\ Net\ Income}{Average\ Book\ Value}$$

$$Profitability\ Index = \frac{Discounted\ Cash\ Flow}{Initial\ Investment}$$

Projected Cash Flow = Project operating cash flow + Project change in net working capital + Project capital spending

$$Operating\ Cash\ flows = Earning\ before\ Interest\ and\ Taxes + depreciation - Taxes$$

$$Operating\ Cash\ flow = (Sales - Costs) \times (1 - T) + Depreciation \times T$$

$$Total\ Cash\ flow = Operating\ Cash\ flow - Change\ in\ NWC - Capital\ Spending$$

$$Cash\ Flow = Cash\ inflow - Cash\ Outflow$$

$$Total\ Percentage\ return = Dividend\ yield + Capital\ Gains\ Yield$$

$$Percentage\ Return = \frac{Dollar\ Return}{Beginning\ market\ value}$$

$$Dollar\ return = \frac{Dividend + Change\ in\ market\ value}{Beginning\ market\ value}$$

$$Percentage\ return = Dividend\ Yield + Capital\ Gains\ Yield$$

$$Percentage\ return = \frac{Capital\ Gain}{Beginning\ value}$$

$$Variance = \frac{Squared\ deviation}{(Total\ no.\ of\ Year - 1)}$$

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$$Standard\ devaition = (Square\ root\ of\ Variance)$$

$$Var(R) = \frac{(R_1 - R)^2 + ... + (R_T - R)^2}{(T-1)}$$

$$Average\ return = \frac{Sum\ of\ Total\ value\ of\ Actual\ return}{Total\ no.\ of\ values}$$

$$Deviation\ from\ mean = Actual\ return - Average\ return$$

$$Risk\ Premium = Expected\ return - Risk\ free\ rate$$

$$Expected\ return\ Portfolio \rightarrow E(R_p) = X_1 \times E(R_1) + X_2 \times E(R_2) + ...X_n \times E(R_n)$$

$$Risk\ formula \rightarrow R = E(R) + Systematic\ Portion(m) + Unsystematic\ Portion(\epsilon)$$

$$Overall\ risk \rightarrow R = E(R) + m + \epsilon$$

$$Total\ risk = Systematic\ risk + Unsystematic\ risk$$

$$Systematic\ risk \rightarrow Non-diversifiable\ risk\ or\ Market\ Price$$

$$Unsystematic\ Risk \rightarrow Diversifiable\ Risk\ or\ Asset\ Specific\ Risk$$

$$Cost\ of\ Equity \rightarrow R_E = \frac{D_1}{P_0} + g$$

$$Marrket\ value = Number\ of\ Shares \times Price\ Per\ Share$$

$$Capital\ Structure\ market \rightarrow V = E + D$$

$$V \rightarrow Value, E \rightarrow Equity, D \rightarrow Debt$$

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$$Capital\ Structure\ Weight \rightarrow 100\% = \frac{E}{V} + \frac{D}{V}$$

$$Tax\ rate\ for\ the\ cost\ of\ debt \rightarrow R_D \times (1 - T_c)$$

$$Weighted\ Average\ Cost\ of\ Capital \rightarrow WACC = \frac{E}{V} \times R_E \times \frac{D}{V} \times R_D \times (1 - T_C)$$

$$Preferred\ Stock\ Formula = \frac{P}{V} \times R_p$$

$$Equity\ Formula \rightarrow \frac{D_0(1+g)}{P_0}$$

$$Dividend\ Growth\ formula \rightarrow R_E = \frac{D_1}{P_0} + g$$

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$$Calculate\ formula\ turnovers = \frac{Beginning\ Price + Ending\ Price}{2}$$

$$Net\ Present\ Value = -Initial\ Investment + \frac{Total\ future\ Cashflow}{(1+r)^t}$$

Capital Budgeting → There are 6 types Capital budgeting or 5 types given i

1) *Net Present Value (NPV)*
2) *Payback*
3) *ARR*
4) *IRR*
5) *Profitability Index*

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$$Equity\ Formula \rightarrow \frac{D_0(1+g)}{P_0}$$

$$Dividend\ Growth\ formula \rightarrow R_E = \frac{D_1}{P_0} + g$$

$$Net\ Income = EBIT - Interest$$

$$Cost\ of\ equity\ return\ on\ equity(R_E) \rightarrow R_E = R_A + (R_A - R_D) \times \frac{D}{E}$$

$$Firms\ Financial\ Structure\ \det ermin\ e \rightarrow (R_A - R_D) \times \frac{D}{E}$$

$$Interest\ Tax\ Sheild\ Formula = \frac{(T_C \times D \times R_D)}{R_D} = T_C \times D$$

$$Capital\ Structure\ Debt = \frac{D^*}{VL^*}$$

$$Capital\ Structure\ Equity = \left(1 - \frac{D^*}{VL^*}\right)$$

$$NWC + Fixed\ Assets = Longterm\ debt + Equity$$

$$NWC = (Cash + Other\ Current\ Assets) - Current\ Liabilities$$

$$Operating\ Cycle = Operating\ Cycle - Accounts\ Payable\ Period$$

$$Buy\ or\ Cash\ Pay \rightarrow Account\ Payable$$

$$Sale\ cash\ or\ recieve\ cash \rightarrow Account\ \mathrm{Re}ceivable$$

$$Inventory\ Turnover = \frac{Cost\ of\ Goods\ Sold}{Average\ Inventory}$$

$$Inventory\ Period = \frac{365\ Days}{Inventory\ Turnover}$$

$$\mathrm{Re}cievable\ Turnover = \frac{Credit\ Sales}{Average\ A/C\ recievable}$$

$$\mathrm{Re}cievable\ Period = \frac{365\ Days}{\mathrm{Re}cievable\ Turnover}$$

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$$Payable\ Turnover = \frac{Cost\ of\ Goods\ Sold}{Average\ Payables}$$

$$Payable\ Period = \frac{365\ Days}{Payable\ Turnover}$$